

A compilation of six common though costly mistakes that every earning individual should relate to

WE MAKE

Naturally you plan expenses and savings accordingly. Worse, you even calculate income tax on that basis. You are underestimating your income and tax.

You've just filed your tax return and can't help pat your back. Exemplary financial planning helped you breeze through the task.

WHAT ALL IS INCOME... AND SPENDING

The best way to know how much you earn and what all you spend on is to have a cash flow statement, a kind of regular household budget. Here's a snapshot

Monthly Income

Salary	_____
Income from house property	_____
Capital gains	_____
Income from other sources	_____

Monthly Expenses

Rent	_____
Monthly bills (water, phone etc.)	_____
Insurance premium	_____
Home loan EMI	_____

Investments matched financial goals and tax exemption limit was exhausted. Only, all calculations were based on your pay cheque. What about the fixed deposit (FD) that matured last August? Or the interest earned from your bank accounts? These and more are a part of your annual income. The best financial planning is meaningless if you haven't calculated your finances right. This oversight leads to under-utilisation of your money. Neither do you spend the "extra" income nor do you invest it intelligently. The opportunity lost due to this negligence could cost you up to 6 per cent return—the difference between the interest rate on a savings bank deposit and on an FD. Even your investment style is affected. You may not invest in equities because you have to pay the insurance premium. The "unaccounted" sum could have made a re-allocation possible. Naturally, your tax return also shows lower income than what it really is. Though unintentional, this puts you on the wrong side of the law. The good news is that the new tax return forms have specific provisions for income from other sources. So it can't escape your eye. Two out of five income tax queries that money today receives relate to tax treatment of interest income. The remedy? Track incomes from investments too (*see checklist*) and include them in your financial planning. Now, you may pat your back.

— MISTAKE NO. 2 — PUTTING ALL EGGS IN ONE BASKET

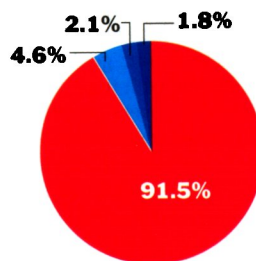
Or the wrong baskets. Heaping all your savings in one asset category or in one instrument type not only increases your risk but you also lose out on other high-return or more tax-efficient investment options.



What goes where and for how long? All asset allocation seeks to answer this question. And the factors that determine the answer. Your income, age, dependants, financial goals and risk appetite, to name a few. But whatever be the investment mix, the underlying mantra is: spread your risk. Even if equity is earning you stupendous returns, balance your investments by parking some funds in debt to hedge against the risk of losses. On the other hand, if you are betting solely on fixed income and debt instruments, chances are you will never reach your dream corpus. So, invest in equity too. The first level of diversification is to distribute savings among equity, debt and real estate. And how do you figure out this ratio? Take more risk when you

THE ACE CALLED ALLOCATION

Figures show percentage of investors who met their financial goals following different strategies. 91.5 per cent of those who followed asset allocation met their goals.



■ Asset allocation ■ Timing markets
■ Individual investment selection
■ Others

Source: A study, "Determinants of Portfolio Performance", by Brinson, Hood and Beebouter